SHARMA & IYER ASSOCIATES
Advocates & Legal Consultants | Established 2008
Chamber No. 14, High Court Annexe, Bandra-Kurla Complex, Mumbai – 400 051
Tel: +91-22-6789 4321 | Email: legal@sharmaiyerassociates.in | Bar Council Reg: MH/2008/3312

LEGAL NOTICE

Under Section 80 of the Code of Civil Procedure, 1908 | Indian Contract Act, 1872 | Specific Relief Act, 1963 | Interest Act, 1978

Ref. No.:	S&I / LN / 2024 / 0487	**Date:**	12th February, 2024
Client:	Mehta Tech Pvt. Ltd.	**Notice to:**	Kapoor Enterprises, Gurugram

TO — ADDRESSEE

The Managing Director / Authorised Signatory,

Kapoor Enterprises

Plot No. 22-A, Sector 18, Industrial Area,

Gurugram, Haryana – 122 001

Email (known): md@kapoorenterprises.in | Fax: 0124-4567890

Subject: Legal Notice for Breach of Contract, Wilful Non-Payment of Dues, and Recovery of **Rs. 52,40,000/-** (Rupees Fifty-Two Lakhs Forty Thousand Only) along with interest at 18% per annum and damages under the Software Implementation and Enterprise Resource Planning (ERP) Services Agreement dated **14th March, 2022** bearing Ref. No. MT/KE/ERP/2022/007, and all other reliefs incidental thereto.

Sir / Madam,

We are the duly retained Advocates and Legal Consultants acting on behalf of and under the express written instructions of our client, **Mehta Tech Pvt. Ltd.**, a company duly incorporated under the Companies Act, 2013, bearing CIN: U72900MH2016PTC278341, having its registered and principal office at Unit 401, Pinnacle Business Park, Andheri East, Mumbai – 400 093 (hereinafter referred to as '**our Client**' or '**the Noticee's Counterparty**'). We are duly authorised and have specific instructions to address this Notice to you and to place on record the following facts, all of which you are required to note carefully and in their entirety.

SECTION I — BACKGROUND, PARTIES AND CONTRACTUAL FRAMEWORK

1.1 That our client, **Mehta Tech Pvt. Ltd.**, is a leading provider of enterprise technology solutions, specialising in the design, development, and implementation of bespoke Enterprise Resource Planning (ERP) systems for manufacturing and trading enterprises across India. Our client has a demonstrable track record of over thirty (30) successful ERP deployments and employs a team of over two hundred (200) qualified software engineers, business analysts, and project managers.

1.2 That you, **Kapoor Enterprises**, are a firm / company engaged in the manufacture and trading of industrial components with operations spread across Gurugram, Haryana. Representatives of Kapoor Enterprises initially approached our client in or around **August 2021** seeking a comprehensive ERP solution to digitise and integrate their business operations across procurement, finance, human resources, and customer management.

1.3 That after a series of detailed discussions, site visits, requirement workshops, and commercial negotiations spanning several months, our client and Kapoor Enterprises entered into a formal written agreement on **14th March, 2022** styled as the '**Software Implementation and Enterprise Resource Planning Services Agreement**' bearing Reference No. MT/KE/ERP/2022/007 (hereinafter '**the Agreement**'). The Agreement was duly signed by the authorised representatives of both parties, attested by witnesses, and stamped in accordance with the provisions of the Indian Stamp Act, 1899. A copy of the Agreement is in the custody of our client and shall be produced before any forum as and when required.

1.4 That pursuant to the Agreement, our client agreed to design, develop, customise, integrate, implement, and provide post-deployment support for a comprehensive, full-suite ERP solution covering the following functional modules:

- Module 1: Inventory Management and Warehouse Control
- Module 2: Financial Accounting and Reporting (including GST compliance)
- Module 3: Human Resources, Payroll, and Employee Self-Service
- Module 4: Supply Chain Management and Vendor Portal
- Module 5: Customer Relationship Management (CRM) and Order Processing

The detailed scope of work was captured in Annexure A (Statement of Work) and Annexure B (Technical Specifications) of the Agreement.

1.5 That the total consideration payable to our client for the complete implementation and twelve (12) months of post-go-live Annual Maintenance Contract (AMC) was fixed at **Rs. 65,00,000/- (Rupees Sixty-Five Lakhs Only)**, exclusive of applicable Goods and Services Tax (GST). The parties agreed upon the following structured milestone-based payment schedule as set forth in Clause 4 of the Agreement:

Tranche	Milestone Description	Amount (Rs.)	Due Date	Status
Tranche 1	Advance / Mobilisation Fee	13,00,000/-	Within 7 days of signing	PAID
Tranche 2	Requirements Gathering & SRS Delivery	10,00,000/-	30th June, 2022	PAID
Tranche 3	Development & UAT Phase I Completion	15,00,000/-	30th November, 2022	UNPAID ✗
Tranche 4	Go-Live & Deployment Certification	15,00,000/-	28th February, 2023	UNPAID ✗
Tranche 5	AMC – Year 1 (Post Go-Live)	12,00,000/-	01st March, 2023	UNPAID ✗
TOTAL		65,00,000/-		

1.6 That notwithstanding the aforesaid agreed payment structure, Kapoor Enterprises made payments only against Tranches 1 and 2, totalling **Rs. 23,00,000/-**, and has thereafter wilfully, deliberately, and without any lawful justification, refused and neglected to make any further payments whatsoever, despite our client's full and faithful performance of all contractual obligations.

1.7 That Clause 11 of the Agreement contained a broadly-worded and patently one-sided indemnification provision whereby our client was obligated to indemnify and hold harmless Kapoor Enterprises and its affiliates against all claims, liabilities, damages, costs, and expenses arising out of or in connection with the ERP Solution, irrespective of the negligence or fault of Kapoor Enterprises itself. Our client expressly notes that this clause was executed under conditions of economic duress and commercial pressure, and our client reserves all rights to challenge its validity and enforceability before the appropriate forum.

1.8 That Clause 13 of the Agreement further purported to confer upon Kapoor Enterprises a unilateral and unfettered right to terminate the Agreement at any time, for any reason or no reason, upon seven (7) days' written notice, without any obligation to compensate our client for work completed, costs incurred, or profits foregone. Our client contends that this clause is unconscionable, is contrary to the fundamental principles of contract law and equity, and is void ab initio.

SECTION II — PERFORMANCE BY OUR CLIENT

2.1 That our client duly, diligently, and professionally performed all its obligations under the Agreement within or ahead of the stipulated timelines. A chronological account of our client's performance is set out hereunder:

Period / Date	Activity / Milestone
March – May 2022	Project Kick-off, Team Mobilisation, and Infrastructure Assessment at Kapoor Enterprises' Gurugram premises
May – June 2022	Requirements Gathering Workshops (12 sessions) and System Requirements Specification (SRS) preparation
22nd June, 2022	Formal submission of completed SRS document to Defendant — eight (8) days ahead of contractual deadline
July – November 2022	ERP Software Development, Configuration, and Internal Quality Testing across all five modules
18th November, 2022	Successful completion of User Acceptance Testing (UAT) Phase I — certified by Defendant's team
November 2022 – February 2023	Integration, Data Migration, User Training (150+ users trained), and Go-Live Preparation
20th February, 2023	Full ERP Go-Live across all modules at Defendant's Gurugram facility — Go-Live Certificate executed
April – August 2023	Six (6) additional Change Requests (CRs 04–09) executed at Defendant's specific written request

2.2 That a formal **Go-Live Certificate** was signed by Kapoor Enterprises' General Manager (IT), Mr. Harpreet Singh Bedi, on **20th February, 2023**, acknowledging the successful deployment, integration, and commissioning of all five ERP modules. This certificate constitutes an unconditional and binding acceptance of our client's deliverables under the Agreement.

2.3 That in addition to the core ERP implementation, our client also carried out six (6) Change Requests (CRs 04 through 09) at the specific and written request of Kapoor Enterprises, involving significant additional scope including custom reporting dashboards, third-party logistics integration, and mobile application enhancements. Each Change Request was accompanied by a signed work order, a scope document, and a completion sign-off by Kapoor Enterprises' personnel. The total consideration for these Change Requests amounts to **Rs. 10,40,000/-**.

SECTION III — NATURE AND PARTICULARS OF BREACH

3.1 That notwithstanding our client's complete and documented performance, Kapoor Enterprises has, in wilful, deliberate, and mala fide breach of its contractual payment obligations, failed and refused to pay the following amounts that have become due and payable:

Payment Head	Amount Due (Rs.)	Due Date	Status
UAT & Development Milestone (Tranche 3)	15,00,000/-	30 Nov 2022	UNPAID
Go-Live & Deployment (Tranche 4)	15,00,000/-	28 Feb 2023	UNPAID
Annual Maintenance Contract – Year 1 (Tranche 5)	12,00,000/-	01 Mar 2023	UNPAID
Change Request Work Orders (CRs 04–09)	10,40,000/-	Various dates 2023	UNPAID
TOTAL OUTSTANDING	52,40,000/-		

3.2 That our client has made persistent and repeated efforts to recover the aforesaid dues through oral communications, formal emails, and written correspondence. A chronological record of these communications is set out below:

Date	Communication	Response from Defendant
05th April, 2023	Email reminder re: Tranche 3 outstanding payment	No response
18th May, 2023	Email follow-up and telephonic communication with Mr. Aditya Kapoor	Verbal assurance only
14th July, 2023	Formal email with copies of unpaid invoices	No response
02nd October, 2023	Formal demand letter via registered post	No response
15th September, 2023	Written communication from Defendant raising false deficiency allegations	Our client responded denying all allegations
22nd November, 2023	Final pre-notice demand letter from our client's management	No response / compliance
12th February, 2024	This Legal Notice	—

3.3 That on or about **15th September, 2023**, Kapoor Enterprises' Director, Mr. Aditya Kapoor, for the first time raised certain untenable and manufactured objections regarding alleged deficiencies in the ERP Solution. These allegations are categorically denied by our client. Notably, no formal deficiency notice was raised within the ninety (90)-day defect liability period stipulated in Clause 7.3 of the Agreement, which expired on **22nd May, 2023**. These allegations are therefore time-barred and constitute a mala fide device to delay and evade legitimate payment obligations.

3.4 That vide email dated **03rd November, 2023**, Mr. Aditya Kapoor, Director of Kapoor Enterprises, shockingly denied the very existence of any binding agreement between the parties. This denial is wholly false, disingenuous, and directly contradicted by Kapoor Enterprises' own conduct — including accepting deliverables, signing the Go-Live Certificate, raising Change Requests on company letterhead, and making part-payments totalling Rs. 23,00,000/-.

SECTION IV — LEGAL GROUNDS AND CAUSE OF ACTION

4.1 **Breach of Contract (Indian Contract Act, 1872):** The failure of Kapoor Enterprises to discharge its payment obligations upon successful completion of each contractual milestone constitutes a clear, unambiguous, and continuing breach of contract within the meaning of Sections 37, 39, and 73 of the Indian Contract Act, 1872. Our client is entitled to recover all amounts due together with damages arising naturally from such breach.

4.2 **Unjust Enrichment:** Kapoor Enterprises has unlawfully retained the benefit of our client's services, deliverables, and intellectual property without making the agreed consideration therefor. Such retention constitutes unjust enrichment at the expense of our client and is actionable under the principles of restitution and quasi-contract as recognised under Sections 68–72 of the Indian Contract Act, 1872.

4.3 **Misrepresentation and Fraud:** The repeated oral and written assurances given by Kapoor Enterprises' representatives that payments would be made shortly — assurances made without any intention of compliance — constitute actionable misrepresentation within the meaning of Section 18 of the Indian Contract Act, 1872, and may amount to fraudulent inducement under Section 17 thereof.

4.4 **Entitlement to Interest:** Clause 9.1 of the Agreement provides for interest on overdue payments at 'prevailing bank rate plus two percent (2%) per annum.' Our client is, in any event, entitled to interest at the rate of **18% per annum** on all overdue amounts from their respective due dates until actual payment, under the Interest Act, 1978 and the principles of equity consistently applied by courts.

4.5 **Arbitration / Court Proceedings:** Clause 15 of the Agreement provides for arbitration before a sole arbitrator to be appointed by mutual consent. No formal arbitration proceedings have been invoked by either party. Our client hereby reserves all rights to invoke arbitration or to institute appropriate legal proceedings before the competent civil courts, as it may deem fit, in the event this Notice does not elicit a satisfactory response.

SECTION V — FORMAL DEMAND AND NOTICE

In view of the foregoing, we hereby call upon you, on behalf of our client Mehta Tech Pvt. Ltd., to, within **fifteen (15) calendar days** from the date of receipt of this Notice, do all of the following:

(a) Pay to our client the principal sum of **Rs. 52,40,000/- (Rupees Fifty-Two Lakhs Forty Thousand Only)** being the total contractual dues outstanding and unpaid as on the date of this Notice;

(b) Pay interest on the aforesaid sum at the rate of **18% (eighteen percent) per annum** computed from the respective contractual due dates of each payment tranche until the date of actual payment and realisation;

(c) Pay the sum of **Rs. 5,00,000/- (Rupees Five Lakhs Only)** towards damages suffered by our client on account of reputational harm, opportunity cost, resource diversion, and costs incurred in attempting to secure recovery of legitimate dues;

(d) Pay all costs of, and incidental to, the issuance of this Notice and all legal expenses incurred or to be incurred by our client in connection with this dispute;

(e) Furnish a written acknowledgement confirming all outstanding dues and provide a binding undertaking as to the timeline and mode of full payment;

(f) Withdraw, retract, and formally disavow all false, misleading, and defamatory allegations made against our client in respect of alleged deficiencies in the ERP Solution, which allegations are wholly without basis.

You are hereby notified that in the event of your failure or refusal to comply with the aforesaid demands within the stipulated period, our client shall be constrained — without any further notice or communication — to institute appropriate legal proceedings before the competent Court of law and / or invoke arbitration proceedings as provided under the Agreement, and in such proceedings, you shall additionally be liable for all court fees, advocate fees, litigation costs, and such further reliefs as the Hon'ble Court or Arbitral Tribunal may deem fit to grant. **All rights of our client are hereby expressly reserved.**

Yours faithfully,

Adv. Priya Iyer

Partner, Sharma & Iyer Associates

Enrolment No.: MH/2008/3312

On behalf of: **Mehta Tech Pvt. Ltd.**

Date: 12th February, 2024

Enclosures: *(1) Copy of Agreement MT/KE/ERP/2022/007 (2) Invoices MT/INV/2022/041, 2023/017, 2023/056 (3) Go-Live Certificate dated 20.02.2023 (4) UAT Sign-Off Report (5) Correspondence chain (emails & letters) (6) Change Request Work*

Orders CRs 04–09

This notice is issued without prejudice to all other rights, remedies, and claims available to our client in law and equity.